

THE STATE OF CANNABIS WELLNESS, FITNESS & CULTURE

THE WEDGE 2026

The year the plant went functional, the drink aisle caught fire, daily cannabis passed daily alcohol, and a November deadline put a countdown clock on half the industry. Every number that matters, in one read.

Wellness got in the door. Culture is walking through it.

For decades, cannabis lived at the edges of American life. In 2026 it sits in the middle of three of the biggest consumer stories in the country: the wellness economy, the retreat from alcohol, and the rise of creator led commerce. That intersection is the wedge, and it keeps widening.

This report is our map of it. We pulled the numbers that matter from industry analysts, government filings, and this year's peer reviewed research, then organized them the way our community actually lives: wellness first, the drink aisle second, culture and commerce third, with a sprinkle of sports where the leagues finally caught up to the locker room.

One warning before you dive in. The single most important date in this report is November 12, 2026. If you consume any hemp derived THC product, from a gas station gummy to a seltzer at your grocery store, chapter two is going to change your year. Read it first if you read nothing else.

How to read the numbers. Every figure is attributed to its source in plain language, and the full source list sits on the back page. Where analysts disagree, we say so. Where we are making a call rather than citing one, we label it as our take. Current as of press time, August 2026. No mystery stats, no hype math.

2026 in ten numbers

\$30.5B

Forecast US regulated cannabis sales in 2026, a modest rebound after the market's first ever annual decline in 2025

COVA / MJBIZDAILY DATA

\$149B

Estimated total contribution of the legal cannabis industry to the US economy in 2025

FLOWHUB INDUSTRY REPORT

21%

Of adults 50 and older used cannabis in the past year. Older adults are the fastest growing consumer group

NATIONAL POLL ON HEALTHY AGING

87%

Of Americans support cannabis legalization in some form, an all time high

FLOWHUB INDUSTRY REPORT

42%

Of edible consumers now prefer doses of 10 mg or less. The most popular dose sits at 2.5 to 5 mg

BDSA

+15%

Year over year growth in cannabis beverages, the fastest percentage growth of any category, with Michigan up 112 percent

BDSA

65%

Of Gen Z adults planned to drink less alcohol this cycle, the generation leading the sober curious movement

NCSOLUTIONS

17.7M

Americans use cannabis daily or near daily, versus 14.7 million daily drinkers. The first crossover on record

JOURNAL ADDICTION, FEDERAL SURVEY DATA

\$1.2B

CBD revenue in sports recovery products in 2025, with athletes driving much of the growth

INDUSTRY REPORTING

95%

Share of hemp derived cannabinoid products that become federally unlawful on November 12, 2026 under the new federal hemp definition, per US Hemp Roundtable estimates. The biggest shelf reset since 2018. Full story in chapter two.

The market grew up the hard way

01

The easy money era is over, and the industry is healthier for it. US regulated sales dipped for the first time in 2025, landing near 29 billion dollars, and analysts tracked by Cova and MJBizDaily forecast a rebound to roughly 30.5 billion in 2026. Growth now comes from discipline, not novelty.

Prices keep falling

Mature markets like California, Michigan, and Colorado are living through heavy price compression. MJBizDaily reports average discount rates reaching 35 percent in struggling markets like Arizona. Great for consumers. Brutal for operators.

Profit is rare

Only about 24 percent of US cannabis operators are profitable after tax, versus roughly 65 percent of all US small businesses, per Whitney Economics data cited by MJBizDaily. The federal tax code, especially rule 280E, has been the anchor. That is why chapter two matters so much.

New markets carry growth

While legacy states compress, newer markets surge. New York regulators say the state is on pace for roughly 2.6 billion dollars in sales in 2026, one of the fastest growing markets in the country. Adult use is now legal in 24 states.

The consumer broadened

More than one in three American women over 21 consume cannabis, per Flowhub, and one in five adults over 50 used it this year. The stereotype customer is gone. The 2026 buyer reads labels, checks lab results, and shops by effect, which sets up chapter three.

What it means for you. Falling prices and smarter shelves make this the best time in history to be a thoughtful consumer. The brands that survive this squeeze will be the ones that earn trust, not the ones that shout loudest.

The 90 year road to here

You cannot read 2026 without the century behind it. Eight milestones explain how the most restricted plant in America became the center of its wellness economy.

- **1937**
The Marihuana Tax Act effectively outlaws cannabis nationwide, ending decades of open pharmacy sales.
- **1970**
The Controlled Substances Act places marijuana in Schedule I, the most restrictive tier, defined as having no accepted medical use.
- **1996**
California voters pass Proposition 215, the nation's first modern medical marijuana law, and the state by state era begins.
- **2012**
Colorado and Washington become the first states to legalize adult use by popular vote. Twenty two more follow over the next thirteen years.
- **2018**
The Farm Bill legalizes hemp, and a narrow definition accidentally opens the intoxicating hemp market that chapter two closes.
- **2022**
For the first time on record, daily cannabis users outnumber daily drinkers in federal survey data, published in the journal Addiction.
- **2025**
Executive Order 14370 directs the government to finish rescheduling marijuana, the first White House order of its kind.
- **2026**
Medical marijuana moves to Schedule III, the full rescheduling hearing wraps, and the hemp countdown enters its final months. Which brings us to now.

The law finally moved. Twice.

02

Two federal actions in a single year rewired the legal landscape in opposite directions. Rescheduling opened a door for licensed cannabis. The new hemp definition is closing one on hemp derived THC. Here is the timeline.

● NOVEMBER 12, 2025

The government funding law quietly rewrites the federal definition of hemp, capping finished hemp products at 0.4 milligrams of total THC per container, with a one year countdown to enforcement. Legal analysts at firms like Vicente LLP call it the biggest cannabis policy change since 2018.

● DECEMBER 18, 2025

The President signs Executive Order 14370 directing the Attorney General to complete the move of marijuana from Schedule I toward Schedule III in the most expeditious manner allowed by law.

● APRIL 23, 2026

The Department of Justice issues a final order immediately placing FDA approved marijuana products and state licensed medical marijuana in Schedule III, and announces an expedited hearing on rescheduling all marijuana. Court challenges to the order are already before the DC Circuit.

● JUNE 29 TO JULY 15, 2026

The DEA holds its expedited administrative hearing on full Schedule III rescheduling. Testimony wraps in mid July, and as of press time the administrative law judge's recommendation is pending.

● NOVEMBER 12, 2026

The hemp provision takes effect. Absent new legislation, roughly 95 percent of hemp derived cannabinoid products become federally unlawful, per US Hemp Roundtable estimates.

Why rescheduling matters in one sentence. Schedule III treatment opens the path out of tax rule 280E, the provision that kept most licensed operators unprofitable, which means healthier companies, better products, and more investment in the legal market you actually shop.

The November cliff

Since 2018, a drafting quirk in the Farm Bill let intoxicating hemp products, delta 8 gummies, THCA flower, and hemp THC seltzers, sell almost everywhere, including states with no legal cannabis at all. On November 12, 2026, the federal government closes that lane. Industry groups estimate a 28 billion dollar market and more than 300,000 jobs are exposed.

WHAT GOES AWAY FEDERALLY

Delta 8 and similar synthesized cannabinoids, THCA flower, and any hemp derived edible or drink above 0.4 milligrams of total THC per container. For scale, a typical delta 8 gummy carries 25 to 50 milligrams, roughly 60 to 125 times the new cap, per industry analysis.

WHAT STAYS

Industrial hemp for fiber and materials, and most non intoxicating CBD products under the new threshold. State licensed dispensary products are untouched. If anything, dispensaries are expected to absorb much of the displaced demand.

WHERE THE FIGHT STANDS NOW

The House passed its 2026 Farm Bill in April without touching the ban, the Senate committee draft leaves it alone, and bipartisan delay bills remain stuck in committee. Even the White House asked Congress in June to revise the provision or extend its start date. Meanwhile the FDA has missed its own deadline to define key terms like what counts as a container.

WHAT CONSUMERS SHOULD DO

Know which of your products are hemp derived versus dispensary purchased. Expect shelf changes, reformulations, and markdowns through fall. If you live in a legal state, get comfortable with the licensed channel now rather than in a November rush.

Our take. Whatever happens in Congress this fall, the era of unregulated intoxicating hemp is ending. The winners will be tested, labeled, compliant low dose products, exactly the corner of the market wellness consumers already moved to.

Wellness is the category now

The defining consumer shift of this era is not a product. It is a posture. People are consuming less per session, on purpose, for a reason. BDSA finds 42 percent of edible consumers prefer 10 milligrams or less, and the most popular dose is just 2.5 to 5. Microdosing went from fringe habit to shelf strategy.

Shopping by effect

Labels now lead with calm, sleep, focus, and social instead of raw potency. Minor cannabinoids like CBN in night formulas and CBG in daytime blends anchor entire product lines. The label literacy of the average buyer has never been higher.

Convenience wins

Pre-rolls overtook flower as the fastest growing product category in 2025, per Cova, topping 4 billion dollars in sales on nearly 394 million units, per Flowhub, with infused pre-rolls holding about 43 percent of the segment. Low effort formats fit real routines.

The science caught up in 2026

This was the year mainstream research turned its full attention to everyday wellness use. A May 2026 study in JAMA Network Open found older adults choose edible cannabis mainly for sleep, pain, and mood, and prefer avoiding a strong high, a direct match for the low dose shelf. The National Sleep Foundation published its first population survey of cannabis as a sleep aid. The National Poll on Healthy Aging put past year use among adults 50 and older at 21 percent, with relaxation and sleep as the top motives. And University of Michigan researchers flagged how common sleep driven use has become among young adults, a reminder that intentional use still deserves honest guardrails.

What it means for you. If your last session was years ago, the shelf you remember is gone. Start with the dose ladder in our companion guide, Well Paired, and let the effect words on the label do the navigating.



CHAPTER FOUR

The drink aisle caught fire

04

Beverages are still under one percent of legal cannabis sales, per BDSA, and that is exactly why they are the most interesting category in the industry. Small base, screaming growth, and a straight cultural line to the retreat from alcohol.

Beverage growth, year over year



BDSA RETAIL TRACKING, Q1 2025 VS Q1 2024 · COBANK PROJECTS ROUGHLY \$3B IN US CANNABIS BEVERAGE SALES BY 2028, ABOUT 17 PERCENT YEARLY GROWTH AGAINST ALCOHOL'S LOW SINGLE DIGITS

Why drinks convert newcomers

Nano emulsion brings onset down to roughly 10 to 15 minutes, so a THC seltzer paces like a beer instead of a mystery. Doses of 2.5 to 5 milligrams make the experience predictable. Familiar ritual, controlled outcome.

The November wrinkle

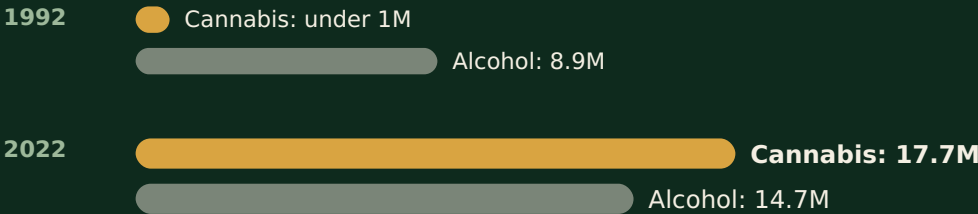
Much of the boom outside dispensaries runs on hemp derived THC, including multi state launches like the Cookies and Green Monké rollout across ten states in January 2026. Those products face the November 12 deadline, making the second half of 2026 the most dramatic six months in the category's short history.

Cali sober nation

America, led by its youngest adults, is stepping back from alcohol without stepping out of the social life around it, and a 2026 University at Buffalo study made the substitution concrete: cannabis beverage drinkers report cutting back on alcohol. One chart tells the whole story.

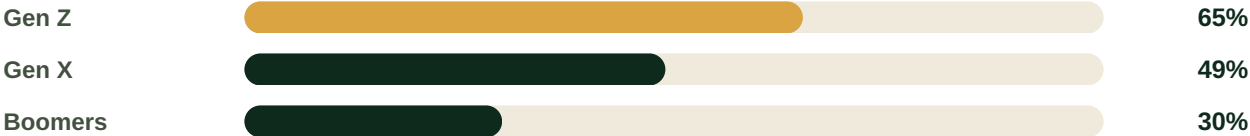
THE FLAGSHIP CHART

The crossover: daily or near daily use in the US



2022 was the first year on record that daily cannabis use passed daily drinking. 42 percent of monthly cannabis consumers use daily or near daily, versus 11 percent of drinkers. SOURCE: CAULKINS, JOURNAL ADDICTION, FEDERAL NSDUH SURVEY DATA 1979 TO 2022

Share planning to drink less alcohol, by generation



NCSOLUTIONS SURVEY · SOBER BARS DRAW 41 PERCENT OF GEN Z · CALIFORNIA LEGALIZED CANNABIS CAFES IN 2025, JOINING COLORADO'S LICENSED LOUNGES LIKE DENVER'S CIRRUS SOCIAL CLUB

The sports sprinkle

Sports did not lead this movement. Athletes did, quietly, as the original wellness consumers, using recovery tools years before the leagues admitted it. In 2026 the rulebooks finally caught up.

The policy scoreboard

The WNBA's 2026 collective bargaining agreement removes cannabis from the banned substance list and creates structured endorsement and investment pathways for players. The NBA stepped away from random testing and lets players sign CBD and cannabis wellness deals. The NFL no longer tests for CBD and raised its THC threshold. MLB removed cannabis from its banned list back in 2020.

The elite athlete fine print

On the Olympic side, the 2026 WADA Prohibited List keeps CBD permitted while THC remains banned in competition only, at a 150 nanogram per milliliter urinary threshold. Contaminated products remain the quiet career risk, which is why certified, tested CBD became its own product tier.

Athletes became the brands

TYSON 2.0, Ricky Williams' Highsman, Al Harrington's Viola, and Calvin Johnson's Primitiv turned post career credibility into shelf presence. The athlete story, pain, recovery, longevity, is the most persuasive marketing the category has.

The recovery economy

CBD revenue in sports recovery products passed 1.2 billion dollars in 2025, per industry reporting, and the routines trickled straight down to weekend runners and gym regulars. What the training room normalized, the living room adopted.

What it means for you. You do not need a jersey to borrow the playbook. The athlete recovery stack, movement, sleep, topicals, low dose formats, is the same wellness system in chapter three, tested at the highest level.



CHAPTER SEVEN

Culture, creators, and the new storefront

07

Cannabis still cannot advertise like a normal consumer product, so the industry is building its own media instead, and 2026 is the year that strategy went from workaround to advantage.

Experience is the campaign

Trade outlooks point to tasting events, educational workshops, pop ups, and upscale consumption lounges as the marketing mix of 2026, alongside AI personalized outreach. Brands are meeting consumers in rooms, not banner ads.

Creators carry the trust

With traditional ads limited, credible people became the distribution. Educators, budtenders, chefs, athletes, and wellness creators are where consumers actually learn, and partnership with them is a named trend in nearly every outlook.

Fashion walks in

Style is the wedge's next lane. Sober curious nightlife built its own dress code, athleisure absorbed the recovery aesthetic, and shoppable runway formats let viewers buy the look mid stream. Accessories and apparel are the friction free first purchase of live commerce.

Live, shoppable video is the open lane

Here is our thesis, clearly labeled as our take. Every restricted category in history eventually builds its own channel, and for cannabis wellness that channel is live streaming with commerce attached. A creator demonstrates a wind down routine, mixes a zero proof pairing, or styles the fit, the audience asks questions in real time, and the products on screen are one tap away. Education, entertainment, and the transaction in a single experience. That is the exact intersection Greenroom was built to own, and it is why this report exists.

Five calls for 2027

Our take, on the record, so you can grade us next year.

- 1 The dispensary absorbs the hemp shopper.** Whatever Congress does before November, displaced hemp THC demand flows mostly into licensed retail and compliant low dose products, and beverage share inside dispensaries roughly doubles.
- 2 Schedule III economics show up on the shelf.** The DEA process that wrapped hearings this July ends in broader Schedule III treatment, tax relief improves operator margins, and the survivors reinvest in quality, testing, and brand.
- 3 Effect beats potency for good.** Calm, sleep, focus, and social become the primary shelf taxonomy in most legal states, and high THC percentage marketing keeps sliding toward a niche.
- 4 The first national drink brand breaks out.** One low dose beverage brand reaches true household recognition on the strength of the Cali sober wave, and alcohol companies respond with acquisitions rather than competition.
- 5 Live shoppable video becomes the discovery layer.** With ad channels still restricted, creator led live commerce becomes the default way new consumers meet cannabis wellness products, and the channels that own that experience own the category's growth.

Sources and further reading

Figures in this report draw on the following public sources, current as of press time, August 2026. Where estimates conflict across analysts, we used the more conservative figure and said so in the text.

Market and consumer data

BDSA retail tracking and consumer insights
 MJBizDaily industry reporting and Whitney Economics profitability data
 Cova Software, Cannabis Industry Statistics 2026
 Flowhub, 2026 Cannabis Industry Statistics
 CoBank Knowledge Exchange, beverage and alcohol trend analysis
 IWSR alcohol consumption data
 NCSolutions sober curious consumer surveys
 Eventbrite event trend reporting

Research published this year

Caulkins, changes in self reported cannabis use in the United States 1979 to 2022, journal Addiction
 JAMA Network Open, edible cannabis and pain, sleep, and mental health in older adults, May 2026
 National Sleep Foundation, Sleep Health journal survey on cannabis as a sleep aid, 2026
 University of Michigan National Poll on Healthy Aging, adults 50 and older
 University at Buffalo, cannabis beverages and alcohol reduction, February 2026

Policy and sports

Continuing Appropriations and Extensions Act of 2026, Public Law 119-37, hemp provisions
 Executive Order 14370 and the April 23, 2026
 Department of Justice rescheduling order
 Federal Register and DEA docket on the June and July 2026 rescheduling hearing
 Vicente LLP and other law firm analyses of the 2026 federal hemp changes
 US Hemp Roundtable impact estimates
 Congressional records on the 2026 Farm Bill and hemp delay legislation
 WADA 2026 Prohibited List
 WNBA 2026 collective bargaining agreement coverage
 League policy reporting on NBA, NFL, and MLB cannabis rules
 Headset and Leafly strain popularity data

This report is educational content for adults 21 and over. It is not legal, financial, or medical advice. Laws and market conditions change quickly. Verify anything you plan to act on, especially around the November 12, 2026 federal hemp deadline.



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THE WEDGE IS LIVE, DAILY

Watch this report come to life.

Greenroom is the free streaming home of cannabis wellness culture. Live sessions with creators and athletes, the November countdown covered as it unfolds, zero proof mixing, style drops, and shoppable moments where the products on screen are one tap away.



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